SECTION B – WRITTEN QUESTIONS **(Total: 80 marks)**

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 **(25 marks – approximately 45 minutes)**

Supreme Gold Limited ("SGL") acquired 70% of the equity shares of Platinum Limited ("PLL") for HK$22,400,000 on 1 October 2019. PLL has become SGL's subsidiary since then. At the acquisition date, PLL reported retained earnings of HK$7,800,000. SGL recorded its investment in PLL at cost in its separate financial statements. SGL, together with PLL, is collectively known as the SGL Group (the "Group").

The statements of financial position for SGL and PLL as at 31 March 2022 are shown below.

	SGL HK$'000	PLL HK$'000
Assets		
Non-current assets		
Property, plant and equipment, net	82,500	31,300
Investment in Platinum Limited	22,400	
Current assets		
Inventories	49,100	21,800
Trade receivables	17,200	11,530
Cash	7,300	3,740
Total assets	178,500	68,370
Equity and Liabilities		
Equity		
Share capital (HK$1 each in issue and fully paid)	80,000	20,000
Retained earnings, 31 March 2022	23,200	19,270
Non-current liabilities	49,600	14,000
Current liabilities	25,700	15,100
Total equity and liabilities	178,500	68,370

Additional information:

(1) At the date of acquisition, the fair values of PLL's net assets were equal to their carrying amounts, with the exception of its factory building of which the fair value exceeded the carrying amount by HK$3,000,000. The remaining useful life of the factory building was 30 years.

Both SGL and PLL measure its property, plant and equipment items using the cost model in accordance with HKAS 16 *Property, Plant and Equipment* and adopt straight-line depreciation for their property, plant and equipment items. Depreciation is recorded on a monthly basis.

(2) SGL chose to measure the non-controlling interest in PLL at its fair value at the date of acquisition. PLL's share price on 1 October 2019 was HK$1.6 per share. This was deemed to be representative of the fair value of the shares held by the non-controlling interest at the date of acquisition.

(3) On 30 March 2022, PLL sold goods to SGL with a transfer price of HK$3,600,000. PLL applied a mark-up on cost of 20% for all goods sold to SGL. SGL has not yet sold any of these inventory items to its customers by 31 March 2022. SGL settled this amount on the same day.

(4) PLL's opening retained earnings as at 1 April 2021 was HK$14,000,000. PLL paid a dividend of HK$700,000 on 31 December 2021. This dividend payment and the net profits earned in the year were the only changes in PLL's retained earnings for the year ended 31 March 2022.

(5) PLL has not issued any shares since 1 October 2019.

<u>**Required:**</u>

(a) Prepare the consolidated statement of financial position for the Group as at 31 March 2022. You should ignore taxation impacts in this part.

Note: You must show supporting calculations and the consolidation adjustment journal entries.

(20 marks)

(b) On 1 April 2022, SGL acquired 25% of the equity shares of Tag Limited ("TAL"). SGL has then demonstrated significant influence over TAL in accordance with HKAS 28 *Investments in Associates and Joint Ventures*. SGL paid HK$3,200,000 cash for the acquisition on 1 April 2022 and recorded this equity investment in its separate financial statements at cost. The fair value of TAL's assets and liabilities were equal to their carrying amounts at the acquisition date, except for certain inventory items that had a fair value of HK$38,000 in excess of its carrying amount. These inventory items were all sold to an external party by 30 September 2022. TAL earned a profit after tax of HK$300,000 and paid dividends of HK$120,000 between 1 April 2022 and 30 September 2022.

Based on the information presented above, prepare the necessary adjusting journal entries to include the investments in TAL for the preparation of the Group's consolidated financial statements for the six months ended 30 September 2022.

(5 marks)

Question 2 **(20 marks – approximately 36 minutes)**

The following shows the trial balance (an extract only) of Bacon Limited ("BAL") as at 31 March 2022:

	Note	HK$'000	HK$'000
Revenue			355,000
Cost of sales	(1)	285,000	
Other income			1,500
Distribution costs		4,200	
Research and development costs	(2)	14,000	
Administrative expenses	(3)	10,800	
Debentures interests and dividends paid	(3),(6)	10,360	
Share capital	(6)		26,000
Retained earnings, 1 April 2021			7,800
Revaluation surplus, 1 April 2021			2,200
6% Bonds	(3)		12,000
Financial assets, 1 April 2021	(4)	5,900	
Property, 1 April 2021	(1)	27,000	
Plant and equipment	(1)	23,000	
Accumulated depreciation – plant and equipment, 1 April 2021			8,600

The following information is relevant to BAL for the preparation of financial statements for the year ended 31 March 2022.

(1) BAL's property was carried at a fair value of HK$30 million as at 31 March 2022. BAL chose to transfer any revaluation surplus to retained earnings upon derecognition of the property.

Plant and equipment was recorded at cost and depreciated at 10% per annum. Depreciation was provided for up to 31 March 2021 in the trial balance and included in the cost of sales. There were no acquisitions or disposals of property, plant and equipment during the year.

(2) BAL launched a research and development project on 1 April 2021 and spent HK$6 million in the first six months of the project. On 1 October 2021, the project entered the development phase and incurred HK$8 million until 31 March 2022. These HK$8 million development expenditures satisfied the criteria in HKAS 38 for recognition as an intangible asset. For any research and development costs to be expensed, BAL charged them to the cost of sales.

(3) BAL issued the 6% bonds on 1 October 2021 with a nominal value of HK$12 million. Direct transaction costs of HK$400,000 were incurred and charged to administrative expenses. The bonds have an effective interest rate of 9% per annum. Interest is payable semi-annually every 31 March and 30 September. BAL measured financial liabilities at fair value on initial recognition and subsequently at amortised cost.

(4) The financial assets are equity investments in other companies measured at fair value through profit or loss. They had a fair value of HK$3.8 million as at 31 March 2022. There were no acquisitions or disposals of these financial assets during the year.

(5) The management of BAL estimated that a provision for income tax for the year ended 31 March 2022 of HK$4.5 million was required. Ignore deferred tax.

(6) On 1 April 2021, BAL had 20 million equity shares issued and outstanding. On 31 December 2021, BAL paid a dividend of HK$0.5 per share. On 1 February 2022, BAL issued additional 3 million equity shares at the market price of HK$2.0 each.

Required:

In accordance with HKAS 1 *Presentation of Financial Statements*, prepare

(a) the statement of profit or loss and other comprehensive income and;

(12 marks)

(b) the statement of changes in equity.

(8 marks)

for BAL for the year ended 31 March 2022. Show all workings clearly.

Question 3 **(10 marks – approximately 18 minutes)**

The following information relates to Central Limited ("CEL"):

- Top Limited ("TOL") owns 60% of the ordinary shares of CEL and is the controlling shareholder of CEL.

- Barbara Leung is the Chief Financial Officer of TOL.

- Alex Chan owns the remaining 40% of the ordinary shares of CEL and has significant influence over CEL's operating and financing decisions.

- Emily Chan is Alex Chan's daughter. Emily Chan owns all the ordinary shares of Zero Limited ("ZEL").

- CEL has joint control over Vital Limited ("VIL"), where Purple Limited ("PUL") is the other joint venturer.

Required:

Explain with justification whether the following persons/ entities are related parties to CEL in accordance with HKAS 24 *Related Party Disclosures*.

(a) TOL
(b) Barbara Leung
(c) Alex Chan
(d) Emily Chan
(e) ZEL
(f) VIL
(g) PUL

(10 marks)

Question 4 (10 marks – approximately 18 minutes)

Candy Limited ("CAL") purchased a manufacturing plant on 1 April 2017 for HK$5,600,000. At the time of purchase, the plant was estimated to have a 10-year useful life with a residual value of HK$800,000.

On 31 March 2020, an impairment test was conducted. The manufacturing plant had a value in use of HK$3,950,000 while its fair value less costs of disposal amounted to HK$3,700,000. There has been no change in the remaining useful life and its residual value.

On 31 March 2022, indicators of a reversal were present. The recoverable amount was determined to be HK$3,350,000.

CAL adopted the cost model in HKAS 16 *Property, Plant and Equipment* to measure its manufacturing plants and to depreciate them over their respective useful lives on a straight-line basis.

Required:

In accordance with HKAS 36 *Impairment of Assets*,

(a) Define "recoverable amount".

(2 marks)

(b) Calculate the impairment loss of the manufacturing plant (if any) for the year ended 31 March 2020.

(3 marks)

(c) Explain how the manufacturing plant would be accounted for on 31 March 2022 in relation to impairment reversal.

(5 marks)

<u>Question 5</u> **(15 marks – approximately 27 minutes)**

Kate Limited ("KAL") sells 3D printer packages to business enterprises in Hong Kong. The contract price of such a package is HK$330,000, which includes one 3D printer, installation service upon delivery, and a one-year maintenance service.

There are several agents selling the same 3D printers in Hong Kong so a customer can choose to buy a 3D printer from one agent and buy installation and maintenance services from other agents. KAL also provides such separate installation and maintenance services. The stand-alone sales value of the 3D printer, installation service and one-year maintenance service are HK$300,000, HK$9,000 and HK$51,000 respectively.

<u>Required:</u>

(a) Outline the five steps in HKFRS 15 *Revenue from Contracts with Customers* of how an entity accounts for revenue.

(5 marks)

(b) KAL sold one 3D printer package to a customer on 1 October 2021 with a contract price of HK$330,000. The customer paid the whole contract amount in cash on the same day. With regard to this 3D printer, prepare the journal entries for KAL for the year ended 31 March 2022. Specify the dates of the journal entries clearly.

(10 marks)

* * * END OF EXAMINATION PAPER * * *